

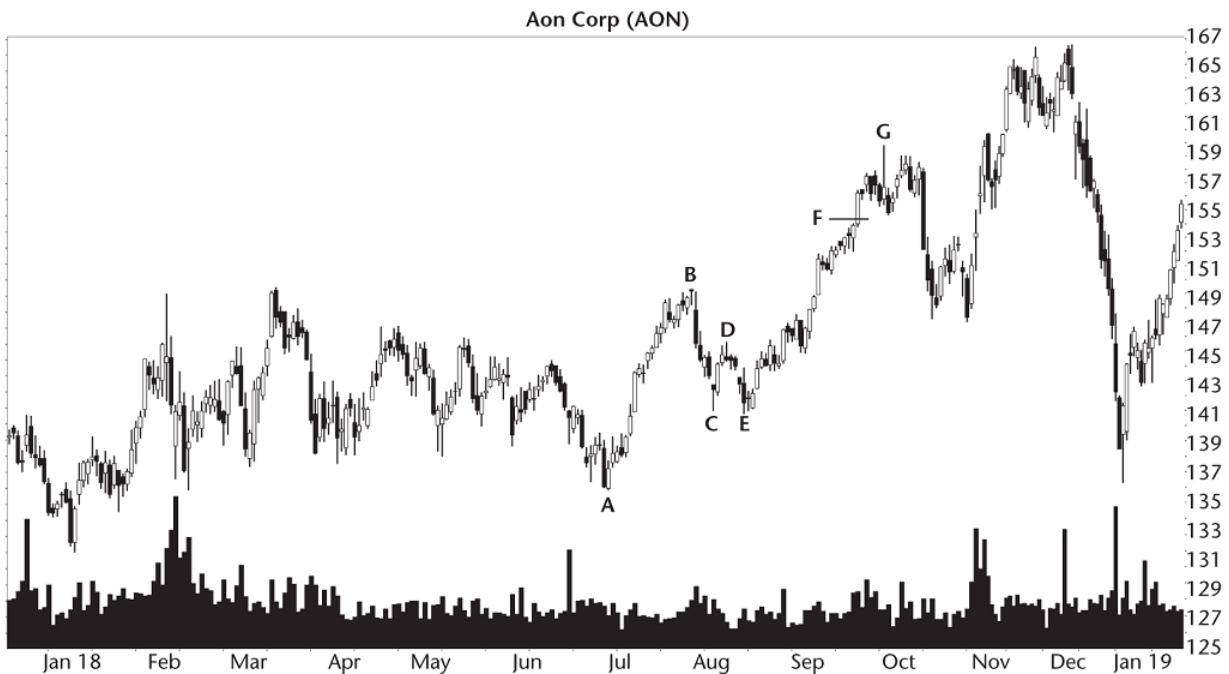


Figure 2.3 Price is supposed to turn down at F, but the search for point D ends when point E is below C.

The second way this $AB=CD$ fails is when price continues rising instead of turning at D. If we ignore the lower low violation at E and assume price climbs to F, where turn D should be (153.41), then look what price does. It continues rising, doesn't it? So price fails to turn at the new target D and moves to G, peaking at 158.77, well above the 153.41 target. Shorting the stock at F would have tested a trader's courage against a rising price trend when the stock climbed to G.

Look back at [Figure 2.2](#) where it shows another example of how the pattern fails to see price decline much after D. Price drops from 67.36 (point D) to 65.22 (point E), a drop of 2.14 points or 3%. Could you make money shorting the stock at D, knowing that if you traded it perfectly, you'd make 3%?

If you owned the stock (long) and sold at D thinking price would drop, you'd be happy that the stock dropped to E, but your joy would turn to sadness when the stock continued climbing up to F and beyond. It would say you'd made a mistake.

Of course I chose [Figure 2.3](#) to highlight the failure of this pattern to perform as expected. That's what the Focus on Failures section is supposed